Chapter 11
The Internationalisation of Further Education: Between Geoeconomics and Geopolitics

Eva Hartmann

11.1 Introduction

This contribution intends to radicalise a research agenda that explores the link between the knowledge-intensive economy, education and geopolitics (see e.g. Moisio in this volume). With the increasing significance of a post-Fordist economy not only higher education but equally further education has increased in importance. A shortening of the life cycle of knowledge in an increasingly international 'perpetual innovation economy' (Morris-Suzuki, 1997: 18), together with demographic changes, has steadily increased the need for life-long learning. Further education and training have become an integral part of most people's educational biography. In 2016, when the European Union conducted a large survey, over 40% of people aged 25–64 had taken part in education and training in that year alone. The participation rate has increased further since then in all high-income countries, including the United States (Training, 2019).[1] This type of education is non-formal; it predominantly takes place outside of the structured education system like schools and universities, and is often linked to non-degree credentials, contributing to the boom in micro credentials in recent years (Kato et al., 2020).[2]

[1] See Eurostat TRNG_LFSE_01: Participation rate in education and training (last 4 weeks) by sex and age https://ec.europa.eu/eurostat/databrowser/view/trng_lfse_01/default/table?lang=en

[2] See Eurostat trng_aes_100, https://ec.europa.eu/eurostat/databrowser/view/trng_aes_100/default/table?lang=en

E. Hartmann (✉)
Faculty of Education, University of Cambridge, Cambridge, UK
e-mail: ebh27@cam.ac.uk

M. Parreira do Amaral, C. Thompson (eds.), *Geopolitical Transformations in Higher Education*, Educational Governance Research 17,
https://doi.org/10.1007/978-3-030-94415-5_11

The provision can but does not have to be profit-oriented. In the EU context one third is provided by employers, and in some countries up to two thirds.[3] In other words, an important part of further education and training takes the form of corporate education. In particular large companies, most of them multinational companies (MNCs), are very active in providing "training measures or activities which have as their primary objectives the acquisition of new competences or the development and improvement of existing ones and which must be financed at least partly by the enterprises for their persons employed", as the EU defines corporate education.[4] Taking a critical stance, we should, however, refrain from reducing this type of education to a simple acquisition of skills. Like any other form of education, company-based education influences how learners perceive the world. Drawing on and further developing James Scott's seminal historical study of 'seeing like a state' (Scott, 1998), we can understand corporate education as part of companies' effort to ensure that all their employees learn to 'see like a company'. Corporate education is therefore a key part of corporate soft power, ensuring that employees know the company's interests and act in line with them (Hanlon, 2016). This type of education is therefore part and parcel of an economic imaginary that a Cultural Political Economy approach considers a key enabler of markets (Jessop & Sum, 2007).

This transformation of the post-secondary education landscape has major implications for education studies. It challenges its public bias and adds another dimension to studies on private education providers. In this contribution, I seek to explore the enabling conditions of corporate education, examining the extent to which companies are able to design their own, corporate education. This inquiry becomes even more pertinent in the case of MNCs. Can they harmonise their company-based education throughout their branches and across national borders? If this is the case, we would indeed be witnessing a new global education provider, given the sheer size of many MNCs. The largest MNCs have revenues that exceed the GDP of many countries (UNCTAD, 2016: 31). The 100 largest MNCs alone employed over 17 million employees in 2015, which was an increase of 9.4% over 2014 (ibid.). Susan George therefore refers to giant firms as 'global sovereigns' in her critical study of globalisation (George, 2015). We do not yet know much about the geopolitical and geoeconomic dimensions of these transnational private authorities. This is the second question that I will explore in this contribution. What is the geopolitical and geoeconomic dimension of corporate education? At the centre of my inquiry are key findings of a research project on multinational pharmaceutical companies and their educational strategies that I conducted in 2016 and 2017 (Hartmann, 2019).

My contribution is divided into three parts. *Firstly*, I will set the stage by outlining an analytical framework that makes it possible to account for the geopolitical and geoeconomic dimension of MNCs. I will then discuss the implications for a critical undestanding of their education and training. Against this backdrop, I will,

[3] See Eurostat (trng_aes_170) https://ec.europa.eu/eurostat/databrowser/view/trng_aes_170/default/table?lang=en

[4] http://ec.europa.eu/eurostat/statistics-explained/index.php/Continuing_Vocational_Training_Survey_(CVTS)_methodology [last accessed 24/04/2021].

thirdly, summarise some important findings of the pilot study I conducted where I explored the degree of internationalisation of corporate education that ranges from initial vocational education to leadership training of the top management. I will reflect on the geopolitical and geoeconomic implications in each case, with a view to developing a new research agenda. This agenda not only pays attention to the rapidly growing sphere of non-formal education and its internationalisation, but it also seeks to contribute to the wider research on geopolitics and geoeconomics. I will make a strong case for an interdisciplinary perspective, drawing on international political economy, the sociology of organisation and management studies.

11.2 The Rise of Multinational Companies

The number of companies with branches all over the world has significantly increased in the last few decades. These companies, many of them being "giant firms" (Crouch, 2010), contribute about half of global exports, almost one third of world GDP, and about a quarter of global employment (OECD, 2018). The majority of their headquarters are situated in the US, Europe, and Japan, reflecting the current global economic order, though with emerging competition from China, India and Korea (UNCTAD, 2020; Vihma, 2018).

However, can we equate MNCs with nation states? Have MNCs become state-like entities that seek to shape the world? Is global power, in other words, not only about geopolitics but also about geoeconomics? The term geoeconomics is closely related to the historian and former strategic adviser to the US government Edward Luttwak. In a seminal article published in 1990, just after the end of the Cold War, Luttwak asked whether World Politics was going to be replaced by World Business with its myriad of economic interactions spanning the globe and own logic, norms, and values (Luttwak, 1990). Other scholars speak of an emerging transnational private authority, an global extra statecraft (Hartmann & Kjaer, 2018). The current geopolitical polarisation may force companies to develop even further such networks that are independent of World Politics in order not to endanger their business. Luttwak's question triggered a lively debate about the relationship between geopolitics and geoeconomics. Most globalisation studies tend to support the World Business thesis highlighting an important retreat of the state. In contrast, other scholars consider geopolitics and geoeconomics inseparable. Making strategic use of its economic strength and its companies has become just another, though vital, element of the states' geopolitical strategy, they argue (Agnew, 2020; Wigell et al., 2021). Scholars of International Political Economy take a middle position: they argue that the world of business has gained an important degree of autonomy but still depends on some national regulations and infrastructure. We could speak therefore of a relative autonomy. Sami Moisio further develops this position by adding a sociological understanding of the infrastructure (Moisio, 2019). Drawing on cultural political economy, in particular Callon and Caliskan's concept of economisation, he highlights the complex extra-economic market-making on which the world of business depends to successfully expand markets (Calıskan & Callon, 2009). Higher education and its internationalisation is a prime example of this extra-economic infrastructure that business depends on: Its knowledge has become a key productive force for the global knowledge-intensive economy. It helps create the respective economic imaginaries and constitutes “an organized set of human figures, who are, from the perspective of political power, equipped with particular ideal skills, behaviours, orientations, and ‘spatial mindsets’, which can be harnessed in the production of territories of wealth and competition”(Moisio, 2019: 11). In this contribution, I argue that not only higher education but corporate education as well plays a vital role in establishing such mindsets. As a non-formal company-based education it is even closer related to World of Business than formal education. But to which extent have the norms and values that underpin corporate education remained national in orientation? Conversely, have they rather become an intrinsic part of World Business, enjoying, as a result, a similar geoeconomic autonomy? I exlore these questions by drawing on key findings of my pilot studies where I assessed the capacity of MNCs to harmonise their corporate education throughout their different branches across the world. A high degree of convergence throughout the entire corporation across naional borders would indicate increased independence from the national context. Such a finding would support the World Business thesis, casting light on the rise of new geographies of centrality. The critical geographer Saskia Sassen has coined this term in her attempt to come to grips with an emerging transnational social space that is neither national nor international (Sassen, 2001). MNCs are prime examples of such geographies with their branches in different parts of the world. In this respect they resemble global cities that are in the centre of Sassen’s study. Scrutinising the ability of MNCs to design a corporate-wide education that is independent of national arrangements will be a litmus test for Sassen’s and the World Business thesis of an emerging transnational geoeconomic space. In the next section, I will develop an analytical framework that will help scrutinise the relative autonomy of World Business in general, and MNCs in particular.

11.3 In Search of an Analytical Framework

Sociological institutionalism developed in the vein of Max Weber provides a helpful framework to explore the relative autonomy that MNCs have in setting up their own corporate education (Meyer, 2009; Powell & DiMaggio, 1991; Ramirez et al., 2016). At the centre is the difference between power, knowledge and authority in modern societies. Not all types of power have authority, and not all knowledge is authoritative. An entity – be it a person, an organisation, or an office – might be *in* authority, that is to say it has the right to command, but it is not *an* authority. Only when the two authorities overlap does the knowledge become authoritative and, as a consequence, broadly shared. Power that becomes authority (Herrschaft) also increases "the probability that a command with a given specific content will be obeyed by a given group of persons" (Weber, 1978: 52). Weber identifies science, law and rules as the main sources of legitimation for modern power; they enable power to become *an* authority. This rational authority contrasts with a charismatic authority that builds on an individual personality features endowed with supernatural or, at least, exceptional powers or qualities. John Meyer and Brian Rowan have been very influential in further developing Weber's idea by de-constructing his modernist bias. They argue that science, law and rules do not *per se* provide legitimation to a power (Meyer & Rowan, 1977). It is rather broadly shared norms, values and knowledge that portray certain institutional arrangements, or in our case education, as appropriate. Walter Powell and Paul DiMaggio's reading of Weber, which has become particularly influential in the field of Business Studies, brings power struggles and contentions into the picture. They highlight the competition between different norms, each claiming to be the most appropriate one. A case in point is the competition between different professions over what counts as professional (see, e.g. Larson, 2013[1977]: 68). We will see how such competition between different professional norms is at the heart of corporate education, and of education more generally. Only the norms that emerge victorious will benefit from normative isomorphism and thus get disseminated as the legitimate ones. These norms do not only delineate what counts as appropriate behaviour. They also influence what counts as social reality, as the sociologists Peter Berger and Thomas Luckmann underline in their study:

> Legitimation not only tells the individual why he *should* perform one action and not another; it also tells him why things are what they *are*. In other words, 'knowledge' precedes 'values' in the legitimation of institutions. (emphases in original Berger & Luckmann, 1991[1966]: 111)

Combining Berger and Luckman's ideas with our notion of seeing like a firm, we thus get a more sophisticated understanding of the role of legitimacy in creating a common understanding of the reality in which companies seek to pursue their business.

But what happens to the normative leverage of a power if it is not recognised as an authority? In this case two modes of isomorphism may come into play, DiMaggio and Powell argue: coercive isomorphism or mimetic isomorphism.

In the case of *coercive isomorphism*, an organisation benefits from another organisation being dependent on it. This form of diffusion comes closest to Weber's notion of coercion, i.e. the probability that an actor within a social relationship will be in a position to impose its norms despite lack of acceptance or even resistance (Weber, 1978: 53). In the sphere of the market, coercive isomorphism is likely to gather momentum in oligopolistic markets that leave little choice to consumers. Market leaders can impose their norms even when they encounter discontent from some of their clients. Boycotting Facebook Inc., for instance, has turned out to be a difficult enterprise due to a lack of alternatives to maintain the social contacts enabled by the Facebook infrastructure. At company level, coercive isomorphism would be related to the power of the management, i.e. the "visible hand of management" (Powell, 1990: 301). MNCs could, in principle, introduce the same education throughout the entire corporation, simply because they have the power to do so. We will see that such leverage is not so straightforward if it lacks legitimacy.

The third type of isomorphism, *mimetic isomorphism*, is likely to occur in moments of high uncertainty, for instance when causalities or organisational technologies are poorly understood or goals ambiguous (Powell & DiMaggio, 1983: 151). As we will see, this type of isomorphism prevails under market conditions due to uncertainty about future developments. In such a situation companies, and organisations in more general terms, tend to imitate each other because they do not know any better way to prepare for the unknown future. Following Mark Granovetter's analysis of the strength of weak ties, Neil Fligstein points out the key role of networks in this context (Fligstein, 2001). These can be informal networks between different companies, or business associations. They act as knowledge brokers bridging different, unconnected companies and organisations with a view to ensuring the flows of information and knowledge which in turn reduce uncertainty (Burt, 2004). We will see that this form of norm diffusion is widely used in the sphere of corporate education.

In the next section I will outline the different forms corporate education can take and will then discuss how the forms are influenced by the type of MNCs. These links have important consequences for the ability of MNCs to create their own transnational educational spaces, which would support the Global Business thesis.

11.3.1 Varieties of Corporate Education

Corporate education includes a broad range of different education and training programmes, ranging from management education to training for the non-managerial technical staff and initial vocational education and training (IVET) for young people, the apprentices.

However, only some MNCs provide initial vocational education and training (IVET) where parts of the education are provided by companies and parts by publicly-funded vocational schools (Hippach-Schneider & Huismann, 2016). All of these companies have their headquarters in Coordinated Market Economies (CMEs), to use the classification of the Varieties of Capitalism approach (Estevez-Abe et al., 2001).[5] These economies differ in terms of skills formation but also industrial relations, interfirm relations, and employer-employee relations from their counterparts, the Liberal Market Economies (LMEs).[6] LMEs coordinate their economies via the market itself, by arm's-length arrangements, competitive relations, and supply and demand interaction, mediated by price signalling. Conversely, CMEs depend much

---

[5] CMEs include Germany, France, Japan, Sweden, Austria, and Switzerland.

[6] Liberal Market Economies (LMEs) are the USA, UK, Canada, Australia, New Zealand, and Ireland.

more on nonmarket relations, credible commitment and collaboration including network monitoring, including a range of different actors beyond the firms. IVET is a direct result of these extra-economic interactions. Germany, where some of the companies I studied have their headquarters, is a prime example with an elaborate dual apprenticeship system in place. All German MNCs I interviewed had tried to establish an apprenticeship system at their branches abroad (interviews 10, 14, 16, 19). The difficulties they encountered indicate how much this type of corporate education depends on a complex non-market arrangement between different actors at national level that cannot easily be transferred to another country unless it has a similar structure in place.

However, the situation differs significantly in the area of further education that all MNCs provide independent of the country where their headquarters is situated. The scrutiny of this type of corporate education will provide interesting insights into extent to which their corporate education has become independent of national arrangements.

11.3.2 Further Education

Access to firm-based education depends to an important degree on the employee's former qualifications and position in the firm hierarchy. The higher the formal qualifications of employees and their position are within the company, the more likely it is that they receives training.[7] Top management training is also most likely to be internationalised. The majority of MNCs have a global succession programme in place independently of where their headquarters are, according to studies of MNCs' HR strategies (for Denmark, CBS and KU, 2011: 69; for the UK, see Edwards et al., 2007: 58–9). Over 50% of MNCs provide global high-potential training programmes (Mabey & Ramirez, 2004).

Many companies, including the majority I visited, refer to these training programmes as corporate university (CU).[8] The term reflects the importance of knowledge for these companies and the fact that they recruit university graduates to an important degree. However, the term may be misleading for it includes a variety of training programmes that differ in the type of skills, behaviours, orientations, and mindsets they seek to create. A helpful point of departure is Martyn Rademakers'

---

[7] A study by the American consultancy firm Brandon Hall Group speaks of a trickle-down strategy in expenditure on training Brandon Hall Group, 2016. "2016 Brandon Hall Group, Training Benchmarking Study."

[8] Examples are Motorola, Apple, Deloitte, Dupont, IBM, General Motors, AT&T, Dell, Ford, and Boeing in the USA. In Germany the airline company Lufthansa was the first to establish a CU, followed by Volkswagen, Daimler-Benz, Siemens, Deutsche Bank and the pharmaceutical company Bayer, to name but a few. Examples in France are AXA, Alcatel-Lucent, EDF Group France Telecom, Fnac, Mazars, Orange and PSA Peugeot Citroën. Companies in Spain with corporate universities are Gas Natural Fenosa, Grupo Santander, Indra, Ferrovial, Telefónica and Banco Bilbao.

typology of CUs, which distinguishes between school, college and academy types of corporate university (Rademakers, 2014). *Schools* are central learning units with highly standardised programmes that also reflect a high degree of standardisation of the products and services the companies sell. An example of a school is the Hamburger University of the fast-food chain McDonalds. We thus get a sense of how production regimes impact on the way the management seeks to standardise the skills of its employees. The second type, the *college*, is closely associated with companies' alignment strategies that use the centralised training unit to advance an overall transformation of the company. This type is less top-down in its diffusion of norms and can therefore respond better to the different contexts of the branches and subsidiaries. The training programmes are more diverse, also reflecting the internal functional division of labour and different further education needs. Rademakers refers to the Mars Corporate University as an example.[9] The last type, the *academy*, provides the least standardised education since it gives the participants an important role in co-producing how the company sees the world. It is also the most exclusive one, mainly targeting the upper management level. A case in point is the Apple University, which provides courses on how to make important strategic decisions for the upper management and for a select group of other employees who have been identified as rising talents (Chen, 2014). Succession programmes also fall under this category.

11.4 New Geographies of Centrality

However, Rademakers' typology of CUs remains rather descriptive and does not examine important differences in the organisational setup of MNCs that influences the type of firm-based education they prefer and the degree of harmonisation accross the branches they seek to achieve. A better understanding of the organisational context will provide insights into the complex interaction between Global Business and national legacies, illuminating the interaction between geopolitics and geoeconomics. To overcome this shortcoming I will relate his typology to a differentiation between MNCs that scholars of industrial sociology and the sociology of organisation have introduced (for a good introduction, see Harzing, 2000; Kasper et al., 2013; Morgan & Kristensen, 2007).

Varieties of standardisation

We can distinguish between three important types of MNCs. They differ in terms of degree of integration as well as local responsiveness, and are likely to favour specific types of corporate education (Table 11.1).

1. The first type of MNCs builds on a *federal structure* that leaves much discretion to the different branches, subsidiaries and affiliations. The low degree of har-

[9] https://www.mars-llc.ru/cis/en/careers/more-than-a-job/mars-university.aspx [last accessed 24/04/2021].

Table 11.1 Types of MNCs, Source: own elaboration based on and further developed of Kasper et al.

Type of MNC	Degree of integration	Type of corporate education	Type of knowledge & degree of harmonisation
Federal MNC	Low integration, high local responsive	Academy for the top Nationally specific colleges for the rest	Only top level internationalised, strong national diversity
International MNCs	High integration, little local responsiveness	Academy for the top Mainly school type for the rest	High degree of international convergence accross branches/ subsidiaries
Transnational MNCs	High integration, high local responsiveness	Academy for the top Mainly colleges for the rest	High degree of international convergence accross branches/ subsidiaries

monisation throughout the corporation allows for a high level of local responsiveness. The global harmonisation of corporate education tends to be restricted to the top management. My pilot study, as well a number of contributions to the management literature, suggest that the other corporate education programmes, designed for the branches and subsidiaries level, reflect important national legacies, institutional arrangements and the requirements of the respective production regime. Top leadership programmes and the lower training programmes are therefore rather loosely coupled. This type of MNC thus remains much embedded in national contexts and does not support the thesis of an emerging Global Business that enjoys a high degree of autonomy. In this arrangement, corporate education is not able to contribute to a new geography of centrality.

2. *International MNCs* pursue a much higher level of integration by way of a strict top-down hierarchy that leaves little discretion to the subsidiaries, which in turn reduces local responsiveness (interviews 21, 22). This type is characterised by a coherent transnational infrastructure that follows the organisational structure of the companies, essentially ignoring local peculiarities. Corporate education of this type of MNCs is mainly provided in a highly standardised school-type format, with a view to ensuring compliance throughout the whole corporation. Such MNCs are indeed capable of creating a transnational space which would support the Global Business thesis. The centralised, standardised and formalised management of human resources reflects the production regime that these MNCs have established. In the pharmaceutical industry, they are often companies that produce 'blockbuster' drugs in highly standardised mass production that requires little in the way of skills at the medium technical level. These types of MNCs are more likely to have their headquarters in the US or other Liberal Market Economies (LMEs), which brings a geopolitical dimension into the picture (Child et al., 2000; Edwards et al., 2007; Ferner et al., 2004). This type of corporate education is likely to gain a geoeconomic quality that remains closely linked

to geopolitics, amplifying the influence of the country where the MNCs headquarters are based.

3. The third type of company, the *transnational MNC*, combines high levels of integration and local responsiveness. This type is a classic example of a learning organisation where the management seeks to take into account the experiences of subsidiaries, with a view to increasing local responsiveness while also deepening integration. They often have a global unit in place that establishes an overall matrix, related to values, that is then adapted to the different contexts; or, as one of the experts I interviewed put it:

'There is a global team that focuses on management education. It develops management competences that then get disseminated to the different local units, where the concepts get modified to reflect the country-specific situation.' (interview 7, my translation).

This type of MNCs thus seeks to create transnational space that is similar to the one of the international MNC type. However, it differs in terms of the knowledge, skills, behaviours and mindset it seeks to establish that can be "harnessed in the production of territories of wealth and competition" (Moisio, 2019: 11). Its business strategy, as well as its education and training, seek to account for the insights provided by branches and affiliates (interviews 11, 12, 13, 20). In this respect, it contributes to the creation of a new geography that is transnational in scope, closely linked to the geoeconomic power of the World Business. However, we need to further dissect the source of authority to understand the enabling conditions of this geoeconomic power.

11.4.1 Sources of Authority

As discussed earlier, the fact that the company management is *in* authority does not automatically ensure that its education programmes have a high reputation. However, the reputation of being able to offer cutting-edge further education has become vital for companies to create a mindset amongst their employees that can be harnessed in the production of territories of wealth and competition. It is equally important to attract the talent they need and to increase the retention rate of employees (SHRM, 2016). In this section, I continue my inquiry by scrutinising the source of authority MNCs draw on to increase the reputation of their corporate education. I will pay attention in particular to the degree to which these resources are global in scope and therefore help MNCs internationalise their educational activities. This section increases the complexity of our study by going beyond a study of the institutional arrangements. It brings the normative environment of World Business to the fore on which MNCs depend in their attempt to harmonise their education and training accross the branches. This geoeconomic environment has its own myriad of networks and communication streams, as well as imaginaries that enable the globalisation of knowledge intensive economies. I will outline different strategies MNCs use to build on this environment with a view to increasing the authority of their own corporate education, based on the findings of my pilot study and management literature. In each case, I will discuss the implication for the degree of autonomy of the source of authority and the relationship between geopolitics and geoeconomics.

The fact that many companies call their centralised education unit a corporate university must be seen as an attempt to improve the reputation of their training programmes. The labelling is more than just another marketing gimmick to make existing teaching and development departments look better, as some scholars claim (Blass, 2001; Walton, 2005). It illustrates the *first strategy* to ensure the reputation of their training: the imitation of formal education, in particular higher education. Apple University is a model case. Its former dean, Joel Podolny, who reported directly to the CEO of Apple, used to serve as dean at the Yale School of Management and was previously a professor at Stanford University Graduate School of Business as well as Harvard Business School.[10] In other words, Apple University seeks to put itself on an equal footing with the Ivy League universities, with a view to branding its training as cutting-edge. As indicated earlier, MNCs with headquarters in CMEs as well as LMEs refer to this type of training as corporate universities. However, the fact that the first CU was established by the US company General Motors and quickly taken up by other US companies, while being more contested in Europe, highlights a geopolitical dimension of this mimetic isomorphism (Becker, 2004; Densford, 1999).

A *second* strategy of authorisation is closely related to normative isomorphism linked to professional norms and standards. Companies seek external accreditation of their programmes to provide their training programmes with authority. An example would be the British CPD Certification Service, which offers external quality control and accreditation of company-based continuing professional development.[11] This is an authorisation strategy that all MNCs seem to make use of, independent of the location of their headquarters. However, there are not many professional associations who offer their services at global level, indicating an important spatial restriction to this type of market coordination. It seems that English-speaking associations are better positioned, as they benefit from a stronger market orientation in their home countries and a colonial legacy. We thus get a sense of a strong link between geopolitics and geoeconomics that exist in this context as well. However, more research on the geopolitics of professional associations is needed before we can draw conclusions.

A *third* strategy of authorisation is much informed by mimetic isomorphism and makes use of peer review. A number of companies encourage their CUs to seek recognition from other CUs as part of peer-review quality assurance. Cases in point are the Global Council of Corporate Universities (GlobalCCU), a membership organisation for CUs. One of the companies I interviewed made use of the European

[10] https://quotes.wsj.com/AAPL/company-people/executive-profile/35827600 [last accessed 24/04/2021].

[11] https://cpduk.co.uk [last accessed 24/04/2021].

Foundation for Management Development (EFMD).[12] The EFMD is a particularly interesting case, since its accreditation goes beyond simple peer review. Its membership includes corporate members, business schools, consultancies and even public services from 86 different countries and is thus well embedded in World Business. These business networks thus constitute a transnational normative environment that provides legitimacy and reputation to corporate training programmes. Mimesis is the main mode of harmonisation in this context, with companies imitating other companies they deemed successful. Although more research is needed to explore this emerging geoeconomic authority that corroborates the World Business thesis.

A *fourth* strategy of authorisation has gained momentum in recent years. Companies have started to outsource their training to external educational providers they consider of good quality. In Europe, between one third and two thirds of firm-based training makes use of external providers.[13] Small employers, in particular, rely on external providers. However, in absolute terms it is the large employers who are the main purchasers of these educational services, in particular for technical and middle management training (see, e.g. BIS, 2013; Münch, 2012: 8).[14] Some professional associations provide such training. But due to the low degree of internationalisation, they are a minority. The lion's share is provided by for-profit organisations. Skillsoft, which is used by some of the companies I visited, is the world's largest corporate training provider. It offers 500,000+ multi-modal courses, micro-learning modules, videos and authoritative content chapters which were accessed more than 130 million times per month in 2017, in 160 countries and 29 languages.[15] Another example would be Wilson Learning Worldwide, listed as one of 2000 largest companies in the Global Forbes ranking. Wilson Learning Worldwide provides courses in 30 languages in over 50 countries.[16] These companies have created an important transnational area of corporate education, supporting the Global Business thesis. However, the fact that many of these companies have their headquarters in the US, benefiting from its major market as a basis, casts light on an important geopolitical dimension of this emerging new geography of centrality.

[12] The service is carried out by a sub-unit, Corporate Learning Improvement Process (CLIP) http://www.efmd.org [last accessed 24/04/2021].

[13] A comparison between 2007 and 2011 indicates a slight decline in the education provided by employers, while external provision increased in many European countries. See EuroStat: Distribution of non-formal education and training activities by provider[trng_aes_170].

[14] There also are some country-related differences. The EU Adult Education Survey identifies a broad range from 71% outsourcing in the Czech Republic to 31% in Slovenia. The EU average is 46 per cent. See Eurostat: Percentage of the total hours in external CVT courses, by training provider and NACE Rev. 1.1 [trng_cvts3_67] http://appsso.eurostat.ec.europa.eu/nui/show.do?dataset=trng_hour03n&lang=en [last accessed 28/05/2021].

[15] This information is provided by the company. See www.skillsoft.com/about/press_room/press_releases/June-14-17-Skillsoft.asp [last accessed 24/04/2021].

[16] www.wilsonlearning.com [last accessed 24/04/2021].

In addition, the fast-growing market of educational service providers includes a range of providers whose main activity is not related to training.[17] Consultancy firms in particular have become important players. A good example is Mercer, also used by one company I visited. Mercer is one of the largest human resources consulting firms with about 22,000 employees and operating in more than 140 countries, providing a broad range of human resource management (HRM) training courses.[18] Individuals can buy these courses, but companies are the most important purchasers. This fourth strategy has become a crucial enabler of an emerging transnational space in the sphere of corporate education, providing further insights into the enabling conditions of the Global Business' authority. Although the findings suggest that the normative power of Global Business has a geopolitical quality in this context as well. For-profit providers with headquarters in LMCs seem to have a competitive advantage given the role markets already play in coordinating their domestic economies, giving them a head start at global level. A dilemma that for-profit providers are confronted with is likely to amplify the trend, as I will show in the next, final section of my analysis.

11.4.2 The Dilemma of For-Profit Education Provision

For-profit providers depend even more on being recognised as *an* authority in the sphere of training. No company would outsource the training of their employees to a provider they did not consider of high standard and likely to be still relevant tomorrow. At the same time, they are exposed to the volatility of the market and to price-mediated competition that risks undermining their authority. A good example is the provision of HR management training. Many HRM training programmes on the market draw on best-selling management books written by senior HR experts, often formerly employed in a top position at a well-known company, as a number of my interviewees explained to me (interviews 1,9,11). The reputation of these senior HR experts, often portrayed as gurus with exceptional insights into emerging trends, provides the training programme with *an* authority of a charismatic type, to use Weber's terminology. However, under conditions of market competition such shining stars can easily fade and be replaced by another rising star promoting a new HR approach. The authority of this type of education providers is thus exposed to a kind of volatility similar to that of the fast-moving fashion world and is forced to produce new trends all the time. This dynamic inevitably produces a confusing market with a plethora of competing approaches and concepts, which, as a consequence, undermines the standardisation education requires to ensure that the acquired skills and

[17] About 10% of training, on average, is provided by this type of provider in the EU countries, according to the latest EuroStat data. See EuroStat: Distribution of non-formal education and training activities by provider Code: trng_aes_170. https://data.europa.eu/euodp/en/data/dataset/pjTE42j35nuLTd0tCI8R0A [last accessed 24/04/2021].

[18] Interview 11; see also www.mercer.com/about-mercer.html [last accessed 24/04/2021].

competences are still relevant tomorrow. In other words, the very condition of the market, i.e. competition and volatility, risks undermining the authority of these providers.

For-profit providers have developed a number of strategies to address this risk. I will discuss five different strategies, all of which were mentioned in the interviews of my pilot study. They help us deepen our understanding of the enabling conditions of transnational normative space supporting World Business. *Firstly,* some for-profit providers seek accreditation from professional associations, which are less exposed to price-mediated competition and volatility, to sustain their reputation in the market. Smaller educational providers seem to prefer this form of social closure to keep their competitors at bay. This stabilisation strategy underpins a normative isomorphism based on professional norms and values and brings to the fore the importance of private and not profit-oriented norm-setters that help to reduce market instability. However, many of these professional associations are national or regional in scope and therefore of limited use for providers who offer training across the world.

A *second response* to the dilemma deploys market instruments to reduce competition. In this case providers seek to benefit from scale and network effects, notably in the sphere of e-learning, to stabilise and strengthen their influence. Developing e-learning modules is expensive, but once they are established scaling up the provision does not entail major additional costs. However, the effect of sunk costs makes it very difficult for newcomers to enter the market.[19] The market power also makes a provider less dependent on being recognised as *an* authority, as long as it can keep competitors at bay. Microsoft is a case in point.

The *third response* is also likely to increase market concentration. In this case, education providers make use of synergy effects from other services they provide. A case in point would be a consultancy firm that uses its market intelligence, gained through its consultancy, to strengthen its reputation as a cutting-edge training provider. This synergy explains why companies whose main revenues are generated through non-educational services have become key players in the sphere of corporate education. LinkedIn illustrates well how the second and third response can be interrelated. This platform entered the professional education market in 2015 by purchasing the online video course provider Lynda.com, which later became LinkedIn Learning. LinkedIn's reputation as a training provider benefits from the fact that it has the world's largest and most comprehensive database of CVs and job descriptions. It can use the data of its users and costumers to gain real-time insights into skill offers and needs (Hartmann & Komljenovic, 2020; Michel, 2016).

The *fourth response to the dilemma* goes a step further in terms of market concentration and makes use of the exclusivity of intellectual property rights (IPR). These rights provide educational providers with a quasi degree awarding power. In other words, they are now *in* authority to ensure the authority of their services.

[19] This tendency towards a « digital monopoly » has triggered a very important discussion, both in the US Congress and the European Parliament, about how to revise competition and antitrust policy, respectively Foroohar, Rana. 2021. "EU and US regulators scrutinise Big Tech and digital 'monopoly'." in *Financial Times*.

Microsoft, for instance, awards the title of Microsoft Technology Associate, which can be upgraded to Microsoft Certified Solutions Associate or, with further training, to Microsoft Certified Solutions Expert (Hartmann, 2016). The exclusivity of the IPR makes it possible for this type of provider to keep possible competitors at bay, to minimise market risks, and to turn even the degree/credential awarding power into a business. Microsoft, for instance, does not provide the training programmes itself. Rather, the company authorises educational training centres and ensures the quality of the service. To become a Microsoft learning partner, for instance, the staff of a centre have to undergo a thorough training in the different Microsoft products and to pass an exam.[20] Other IT companies such as Adobe, Cisco, Oracle, Novell, Hewlett Packard and Sun Microsystems pursue similar franchise strategies (Hartmann, 2016). The world-wide structure of authorised training centres makes it possible to provide identical training courses across the world. The more successful these types of for-profit education providers are in scaling up the diffusion of their proprietary norms, the more revenue they can create through fees and royalties.

The combination of network effects, exclusivity through intellectual property rights and market concentration provides these standard setters with massive leverage that comes close to coercive isomorphism. Boycotting Microsoft training programmes, for instance, is almost impossible if there are no vendor-neutral training providers on the market and given the market power of Windows as an operating system (Hartmann, 2018). Interestingly, MNCs seem not to be too worried about this market concentration, since they can make use of it in order to harmonise their own company-based training. Many companies, including some I visited, make use of centralised vendor management, in particular for language and ICT training programmes (interview 10, 11). Wherever their employees take a course, the provider will be the same for the company. We thus get a sense of the importance of markets for the coordination of Global Business, not unlike the situation in LMEs, giving their companies indirectly a competitive advantage. The transnational infrastructure space that this extrastatecraft of for-profit providers establishes has become vital for MNCs and for Global Business more generally (Easterling, 2014).

The profit-driven norm diffusion that benefits from network and scale effects indicates a complex interaction between geoeconomics and geopolitics. Most educational providers who use IT technologies to underpin their authority have their headquarters in the USA. This unequal distribution reflects a more general imbalance in the high-tech sector where eight out of the top ten publicly owned high-tech firms are located in the USA and none of them in Europe, according to a recent overview provided by Forbes (see, Foroohar, 2021).[21] Alerted by the geopolitical implications of this increased dependency on US and increasingly Chinese competitors, the European Commission unveiled at the beginning of 2020 a digital strategy that seeks to increase the digital sovereignty of Europe (European Commission,

[20] http://www.thewindowsclub.com/microsoft-learning-partner [last accessed 24/04/2021].

[21] https://www.forbes.com/sites/jonathanponciano/2019/05/15/worlds-largest-tech-companies-2019/ [last accessed 24/05/2021].

2020; see, also European Parliament, 2020: 4). However, it is not clear anymore whether states are using their economy to strengthen their geopolitical position, or rather the other way around, with companies using the government where their headquarters are based to leverage their market power in the interest of their stakeholders located in different parts of the world.

11.5 Conclusions

I have argued in this paper that international education studies should not ignore corporate education. This type of education is part and parcel of further education and at the centre of a knowledge-intensive economy. My contribution sheds light on its geoeconomic and geopolitical dimensions. At its centre is a study of MNCs and their education strategies. MNCs have become important drivers not only of globalisation but also of the internationalisation of corporate education. Examining closer the education they offered to their employees, I identified an important diversity of training programmes. Often, they are framed as part of a firm-based university ranging from highly standardised, school-like trainings to more complex programmes targeting different management levels. I drew on industrial sociology and sociology of organisation to get a better idea of the institutional setup of MNCs and how it influences the type of corporate education they favour. The difference in the set-up also impacts the extent to which MNCs are interested and able to provide the same training in all their branches and subsidiaries, independent of their geographical location. The findings of a pilot study I conducted myself, as well as other studies of MNCs, suggest that international and transnational MNCs have harmonised many of their training programmes, creating a transnational space of corporate education, a new geography of centrality in Sassen's term. These findings support the World Business thesis according to which the world of global business has created their own *transnational* space that has become increasingly independent of national extra-economic institutions, although without gaining the *international* scope of World Politics. However, the convergence that international and transnational MNCs seek to achieve differs in many respects, as I have shown. International MNCs tend to privilege a more centralised and standardised top-down management of human resources. They tend to disseminate the norms and values prevailing at their headquarters accross their branches and subsidiaries. The fact that many of these companies have their headquarters in the United States brings a geopolitical dimension back into the picture. Conversely, transnational MNCs seek to use their corporate education to better integrate insights from their branches and subsidiaries. The transnational normative environment they contribute to with their educational strategy is transnational in scope, corroborating the World Business thesis. They strengthen, as a result, a transnational extrastatecraft that is able to create new geographies of centrality.

To further our insights into the enabling conditions of the norms and values MNCs disseminate by way of their corporate education, I moved on to explore the normative environment that corporate education draws on to ensure its own authority. This scrutiny puts the coercive power of visible hand of the management into perspective, and brings to the fore the companies' dependence on a broader institutional environment to ensure the reputation of the training they offer to their employees. The degree of internationalisation of the sources of authority underpinning corporate training programmes provides further insights into World Business and its independence of national statecraft. Building on my pilot study, I have identified four different sources of authority MNCs make use of, though not in equal measure. One strategy is the accreditation of the work-based learning by professional associations. However, the low internationalisation degree of these associations sets clear limits to this attempt to make use of normative isomorphism. Most companies follow a mimetic isomorphism where they imitate each other in their attempts to prepare for the unknown future. The fact that many MNCs have adopted the term corporate university to create a framework for their training programmes is a case in point. But this example also suggests that geopolitics continue playing a key role in this context, given that the term was coined in the US and adopted first by US companies. Management strategies developed in the US are most likely to become global models, as a number of my interviewees underlined (interview 19, 20, 24). The normative influence of the US has gained further momentum as a consequence of the fourth strategy of authorisation that MNCs pursue. I have shown how MNCs have started to outsource parts of their training programmes to external providers, not at least to ensure the reputation of the training they offer to their employees. However, external education providers are confronted with a dilemma. They depend even more on being recognised as *an* authority, since the MNCs and other clients continue to be *in* authority. At the same time, however, they compete with each other and, consequently, need constantly to offer new training programmes in order to stay ahead of their competitors. The consequence is a confusing training market with competing ideas, concepts and models at risk of being short-lived, and this in turn undermines the very authority of private providers. This situation creates a competitive advantage for-profit providers that can use scale and network effects to reduce competition by keeping their competitors at bay. Some of them have become so powerful and effective in creating oligopolistic markets that consumers have little alternative to using them (Foroohar, 2021). Their norm diffusion power has thus gained an almost coercive quality. Microsoft and its different training programmes are just the tip of the iceberg. One of the reasons why MNCs seem not to be too concerned about the lack of alternatives may be that these programmes give them an indirect advantage: they support the companies' efforts to harmonise their own training programmes accross their different branches and subsidiaries. In other words, giant for-profit education providers are part and parcel of Global Business and create an extrastatecraft infrastructure.

The fact that most of them are of American origin sheds light on another geopolitical dimension of corporate education, even if its supports the rise of World Business. The American providers had a first mover advantage in making use of scale and network effects, since they started offering their services in an domestic economy that is already coordinated via the market. However, it is not clear whether these giant companies can still be used by the US government to strengthen its geopolitical position, or whether they rather use the government to strengthen their geoeconomic position to generate profits and to provide the transnational infrastructure that Global Business requires. This is a fast-moving development that requires further research. I hope to have shown that a study of the internationalisation of corporate education is an excellent entrance point for analysing important changes of the ideational dimension of the global political and economic order and the power struggles underpinning it.

References

Agnew, J. (2020). Geoeconomics and the state. In S. Moisio, N. Koch, A. E. G. Jonas, C. Lizotte, & J. Luukkonen (Eds.), *Handbook on the changing geographies of the state new spaces of geopolitics* (pp. 161–172). Edward Elgar.

Becker, M. (2004). Driving ambition. *The Guardian,* Tuesday 28 September.

Berger, P. L., & Luckmann, T. (1991[1966]). *Social construction of reality: A treatise in the sociology of knowledge*. Penguin Books.

BIS. (2013). *Continuing vocational Training survey, research paper number 102*. Department for Business, Innovation and Skills.

Blass, E. (2001). What's in a name? A comparative study of the traditional public university and the corporate university. *Human Resource Development International, 4*(2), 153–172.

Brandon Hall Group. (2016). *Learning and development 2014: Highlights and future trends, 2016 Brandon Hall Group training benchmarking study.* www.brandonhall.com/blogs/learning-and-development-2014-highlights-and-future-trends/

Burt, R. S. (2004). From structural holes: The social structure of competition. In F. Dobbin (Ed.), *The new economic sociology: A reader* (pp. 325–348). Princeton University Press.

Calıskan, K., & Callon, M. (2009). Economization, part 1: Shifting attention from the economy towards processes of economization. *Economy and Society, 38*(3), 369–398.

CBS, and KU. (2011). *Employment practices of multinational companies. Result report*. Copenhagen Business School (SMG), University of Copenhagen (FAOS).

Chen, B. X. (2014). Simplifying the bull: How Picasso helps to teach apple's style inside apple's internal training program. *The New York Times, August, 10*, 2014.

Child, J., Faulkner, D., & Pitkethly, R. (2000). Foreign direct investment in the UK 1985-1994: The impact on domestic management practice. *Journal of Management Studies, 37*(1), 141–166.

Crouch, C. (2010). The Global Firm. The Problem of the Giant Firm in Democratic Capitalism. In D. Coen, W. Grant & G. Wilson (Eds.), *The oxford handbook of business and government* (pp. 148–172). Oxford University Press.

Densford, L. E. (1999). Motorola University. The next 20 years. *Corporate University Review, 7*(1), 1–9.

Easterling, K. (2014). *Extrastatecraft: The power of infrastructure space*. Verso.

Edwards, P., Edwards, T., Ferner, A., Marginson, P., & Tregaskis, O. (2007). *Employment practices of MNCs in organisational context: A large-scale survey report of Main survey*. De Monfort University, King's College London, Warwick Business School.

Estevez-Abe, M., Iversen, T., & Soskice, D. (2001). Social protection and the formation of skills: A reinterpretation of the welfare state. In A. P. Hall & D. Soskice (Eds.), *The varieties of capitalism* (pp. 145–183). Oxford University Press.

European Commission. (2020). *Shaping Europe's digital future*. European Union.

European Parliament. (2020). *Digital sovereignty for Europe. EPRS ideas paper. Towards a more resilient EU, PE 651.992 – July 2020*. European Union.

Ferner, A., Almond, P., Clark, I., Colling, T., Edwards, T., Holden, L., & Muller-Camen, M. (2004). Dynamics of central control and subsidiary autonomy in the management of human resources: Case-study evidence from US MNCs in the UK. *Organization Studies, 25*, 363–391.

Fligstein, N. (2001). *The architecture of markets: An economic sociology of twenty-first-century capitalist societies*. Princeton University Press.

Foroohar, R. (2021). EU and US regulators scrutinise Big Tech and digital 'monopoly'. *Financial Times*, January 21.

George, S. (2015). *Shadow sovereigns: How global corporations are seizing power*. Polity Press.

Hanlon, G. (2016). *The dark side of management*. Routledge.

Hartmann, E. (2016). Education outside the public limelight: The 'parallel universe' of ICT certifiers. In A. Verger, C. Lubienski, & G. Steiner-Khamsi (Eds.), *World yearbook of education 2016, the global education industry* (pp. 228–247). Routledge.

Hartmann, E. (2018). Transnational private authority in the sphere of education. *Indiana Journal of Global Legal Studies, 25*(1), 217–232.

Hartmann, E. (2019). The shadow sovereigns of global education policy: A critique of the World Society approach. *Journal of Education Policy.*

Hartmann, E., & Kjaer, P. F. (2018). The status of authority in the globalizing economy: Beyond the public/private distinction. *Indiana Journal of Global Legal Studies, 20*(1), 3–11.

Hartmann, E., & Komljenovic, J. (2020). The employability dispositif, or the re-articulation of the relationship between universities and their environment. *Journal for Education Policy*.

Harzing, A.-W. (2000). An empirical analysis and extension of the Bartlett and Ghoshal typology of multinational companies. *Journal of International Business Studies, 31*(1), 101–120.

Hippach-Schneider, U., & Huismann, A. (2016). Vocational education and training in Europe – Germany. Cedefop ReferNet VET in Europe reports. *CEDEFOP*.

Jessop, B., & Sum, N.-L. (2007). Towards a cultural international political economy: poststructuralism and the Italian school. In M. de Goede, Houndsmill, et al. (Eds.), *International political economy and poststructural politics* (pp. 157–176). Palgrave Macmillian.

Kasper, H., Lehrer, M., Mühlbacher, J., & Müller, B. (2013). On the different 'worlds' of intra-organizational knowledge management: Understanding idiosyncratic variation in MNC cross-site knowledge-sharing practices. *International Business Review, 22*, 326–338.

Kato, S., Galán-Muros, V., & Weko, T. (2020). *The emergence of alternative credentials. OECD education working paper no. 216, EDU/WKP (2020)*. Organisation for Economic Co-operation and Development.

Larson, M. S. (2013[1977]). *The rise of professionalism: A sociological analysis*. Transaction Publishers.

Luttwak, E. N. (1990). From geopolitics to geoeconomics: Logic of conflict, grammar of commerce. *The National Interest, 20*(Summer), 17–23.

Mabey, C., & Ramirez, M. (2004). Developing managers: A European perspective. In C. Brewster & W. Mayrhofer (Eds.), *Handbook of research on comparative human resource management* (pp. 185–210). Edward Elgar Publishing.

Meyer, J. W. (2009). *World society*. Oxford University Press.

Meyer, J. W., & Rowan, B. (1977). Institutionalized organizations: Formal structure as myth and ceremony. *The American Journal of Sociology, 83*(2), 340–363.

Michel, S. (2016). *"LinkedIn Learning: Loading education 4.0?": IMD*. www.imd.org/research-knowledge/articles/linked-learning-loading-education-4.0/

Moisio, S. (2019). Re-thinking geoeconomics: Towards a political geography of economic geographies. *Geography Compass, 13*(10).

Morgan, G., & Kristensen, P. H. (2007). The contested space of multinationals: Varieties of institutionalism, varieties of capitalism. *Human Relations, 59*(11), 1467–1490.

Morris-Suzuki, T. (1997). Capitalism in the computer age. In J. Davis, T. Hirsch, & M. Stack (Eds.), *Cutting edge: Technology, information, capitalism and social revolution* (pp. 57–71). Verso.

Münch, R. (2012). *Inclusion and exclusion in the liberal competition state: The cult of the individual*. Routledge.

OECD. (2018). *Multinational enterprises in the global economy: Heavily debated but hardly measured, May*. OECD.
Powell, W. W. (1990). Neither market nor hierarchy: Network forms of organization. In B. M. Staw & L. L. Cummings (Eds.), *Research in organizational behavior* (pp. 295–336). JAI Press.
Powell, W. W., & DiMaggio, P. (1983). The iron cage revisited: Institutional isomorphism and collective rationality in organizational fields. *American Sociological Review, 48*(2), 147–160.
Powell, W. W., & DiMaggio. Paul J. (Eds.). (1991). *The new institutionalism in organizational analysis*. University of Chicago Press.
Rademakers, M. F. (2014). *Corporate universities: Drivers of the learning organisation*. Routledge.
Ramirez, F., Meyer, J. W., & Lerch, J. (2016). World society and the gobalization of educational policy. In K. Mundy, A. Green, B. Lingard, & A. Verger (Eds.), *Handbook of global education policy* (pp. 43–63). Wiley Blackwell.
Sassen, S. (2001). *The global cities* (2nd ed.). Princeton University Press.
Scott, J. C. (1998). *Seeing like a state: How certain schemes to improve have failed*. Yale University Press.
SHRM. (2016). *The new talent landscape: Recruiting difficulty and skills shortages*. Society for Human Resource Management.
Training. (2019). 2019 Training industry report, November–December 2019. In *Training*. Excelsior: Lakewood Media Group, LLC.
UNCTAD. (2016). *World investment report 2016. Investor nationality: Policy challenges*. United Nation Publications.
UNCTAD. (2020). *Transnational corporations: Investment and development*. UN.
Vihma, A. (2018). Geoeconomic analysis and the limits of critical geopolitics: A new engagement with Edward Luttwak. *Geopolitics, 23*(1), 1–21.
Walton, J. (2005). Would the real corporate university please stand up? *Journal of European Industrial Training, 29*(1), 7–20.
Weber, M. (1978). *Economy and society*. University of California Press.
Wigell, M., Scholvin, S., & Aaltola, M. (Eds.). (2021). *Geoeconomics and power politics in the 21st century. The revival of economic statecraft*. Routledge.